Brokerage Reports

The last method to generate investment ideas is to use a brokerage report. Analysts at brokerage houses have access to a lot of good information from management. So, we can refer to the brokerage reports on different companies by them. However, ignore the buy-sell recommendation they give. Just focus on the data that they share in their reports and pick it up from there.

MOTILAL OSWAL

1 March 2018

Results Update | Sector: Metals

Rain Industries

BSE SENSEX	S&P CNX
34,184	10,493
Bloomberg	RINDL IN
Equity Shares (m)	336
M.Cap.(INRb)/(USDb)	128.1 / 2.0
52-Week Range (INR)	476 / 85
1, 6, 12 Rel. Per (%)	-4/159/329
Avg Val, INRm	850.0
Free float (%)	58.9

Financials & Valuations (INR b)

Y/E Dec	2017	2018E	2019E
Sales	113.0	148.9	163.6
EBITDA	22.7	29.3	31.1
NP	8.6	13.7	15.0
Adj. EPS (INR)	25.6	40.6	44.6
EPS Gr(%)	165.9	58.6	9.8
BV/Sh. (INR)	117.3	155.5	197.6
RoE (%)	24.7	29.8	25.2
RoCE (%)	19.5	26.9	27.9
P/E (x)	14.9	9.4	8.5
P/BV	3.2	2.5	1.9

Estimate change ⟺
TP change ⟺
Rating change ⟺

CMP: INR381 TP: INR480(+26%) Buy

Carbon prices and margins continue to improve

Interest and tax rate declining; Maintain Buy

Rain Industries' (RAIN) 4QCY17 EBITDA increased 2% QoQ (+58% YoY) to INR6.9b. Prices increased across products, but carbon product dispatches were impacted by shipment delays toward the end of the quarter. Adj. PAT increased 37% QoQ to INR3.3b, led by a lower effective tax rate (~21% v/s ~40% in 3QCY17). Exceptional charges include INR0.8b gain from reversal in deferred tax (due to US and Belgium tax rate changes), offset by INR1.1b toward refinancing and unabsorbed bond amortization charges.

- **Carbon – margins improved but shipments delayed:** Volumes fell ~10% QoQ to 744kt. CPC realization increased by USD78 QoQ to USD415/t and CTP realization by USD107 to USD708/t. EBITDA/t rose USD15 QoQ to USD133.
- **Chemical:** Volumes were largely unchanged QoQ at 53kt. Although EBITDA/t increased USD20 QoQ, it was subdued due to a squeeze in spreads.
- **Cement – pricing pressure continues:** Sales were largely unchanged QoQ at 509kt. Realization declined 4% QoQ to INR4,173/t. EBITDA/t decreased 3% QoQ to INR515.
- **USD25-30m savings on refinancing.** Net debt increased by INR5b YoY to INR69b due to a massive increase in working capital and appreciation of EUR against INR. Refinancing of ~USD489m debt is likely to save USD25-30m every year.
- **Positive outlook:** CPC business remains strong on declining exports from China, while CTP is benefitting from consolidation and capacity reduction in its key markets. Chemical business is likely to turnaround in 2HCY18. Tax rate is likely to be 200-300bp lower on a reduction in rates in the US and Belgium.
- **Maintain Buy** : The stock trades at 8.4x P/E and 5.5x EV/EBITDA on CY19E. We value the stock at INR480/share (Exhibit 2). Maintain **Buy.**

Source: https://www.motilaloswal.com/

So, let us talk about the Rain Industries brokerage report from Motilal Oswal. We should focus on the data and information provided by analysts. However, we should not stop here, we should further research and then decide if we should buy/sell stocks. We will completely ignore the buy/sell recommendation.

Note

- We must not be influenced by a company's buy/sell recommendations.
- Rather than focusing on target prices, and buy-sell recommendations we will focus on pure facts.
- We should keep our eyes open to the insights about the company. That's where we will generate excellent investment ideas.